

Chapter 16

International Trade Finance

How exporters and importers bridge distance and distrust — the documents, banks, and financing instruments that make global trade possible.

What This Chapter Covers

1

The Trade Relationship

How trade extends the firm's value chain, why trust is scarce between strangers abroad, and how a bank bridges the gap.

2

Trade Risk & the Transaction Timeline

The two central risks in any cross-border sale — currency risk and non-completion risk — mapped across the life of a deal.

3

The Three Key Trade Documents

The letter of credit, the draft, and the bill of lading — how each works, and how they work together.

4

A Complete Trade Transaction

Walking the full documentary sequence, start to finish, in a single worked example.

5

Financing the Transaction

Government export-credit programs, short-term financing instruments, and forfaiting for longer-term deals.

Learning Objectives

01

Learn how international trade alters both the supply chain and general value chain of the firm

02

Discover the key elements of an import or export business transaction system

03

Explore how the three key documents in import/export combine to finance both the transaction and to manage its risks

04

Describe the variety of government programs to help finance exports

05

Examine the major trade financing alternatives

06

Evaluate the use of forfaiting for medium- to long-term trade financing

SECTION 1

The Trade Relationship

Trade financing shares much in common with the ordinary value-chain activities every firm already manages.

An Extension of the Value Chain

- All companies must search out suppliers for the many goods and services required as inputs to their own production or service processes.
- Key considerations: can the supplier produce to specification, deliver on time, and collaborate on product enhancements and continuous improvement?
- All of this must also come at an acceptable price and acceptable payment terms.

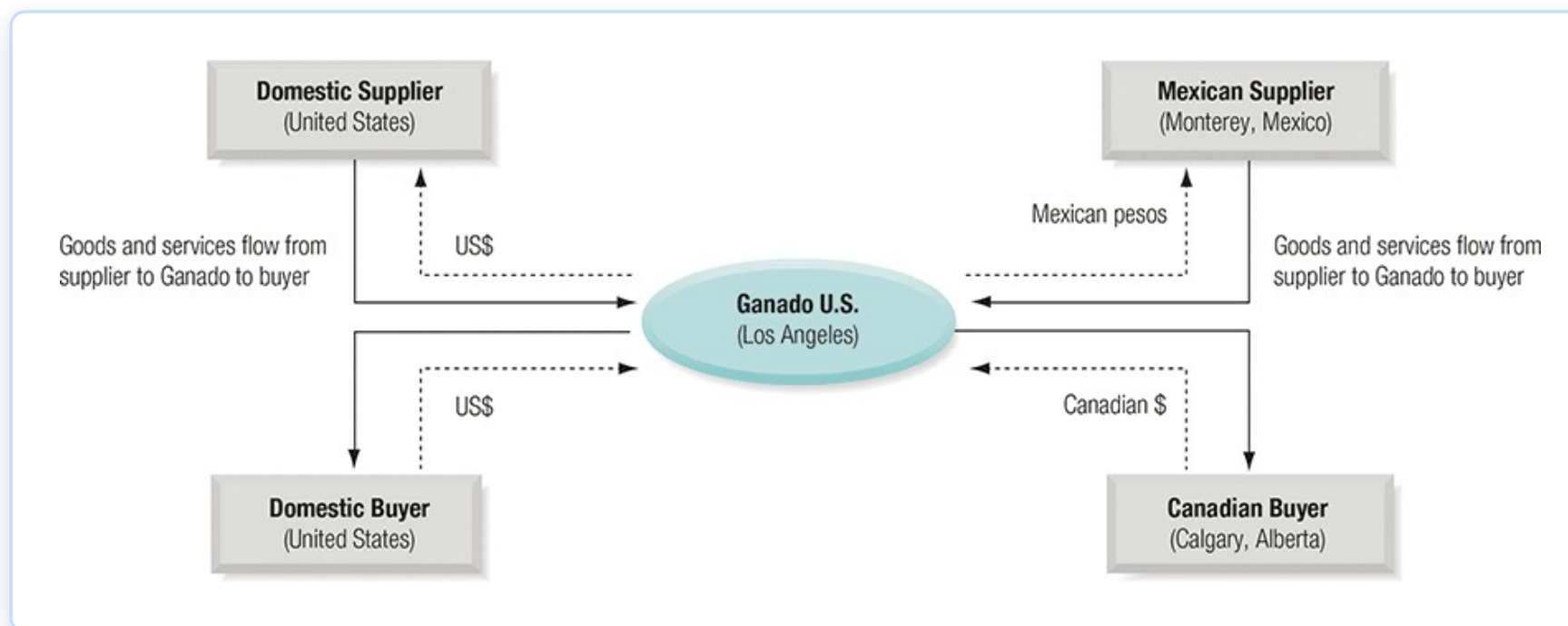


Exhibit 16.1 — Financing Trade: The Flow of Goods and Funds

Three Types of Trade Relationships

- The nature of the relationship between exporter and importer is critical to understanding which import-export financing method industry uses.
- Unaffiliated, unknown parties
- Unaffiliated, known parties
- Affiliated parties (sometimes called intra-firm trade)
- Global trade's composition has shifted dramatically over recent decades — from mostly unaffiliated-party transactions toward more affiliated, intra-firm transactions.

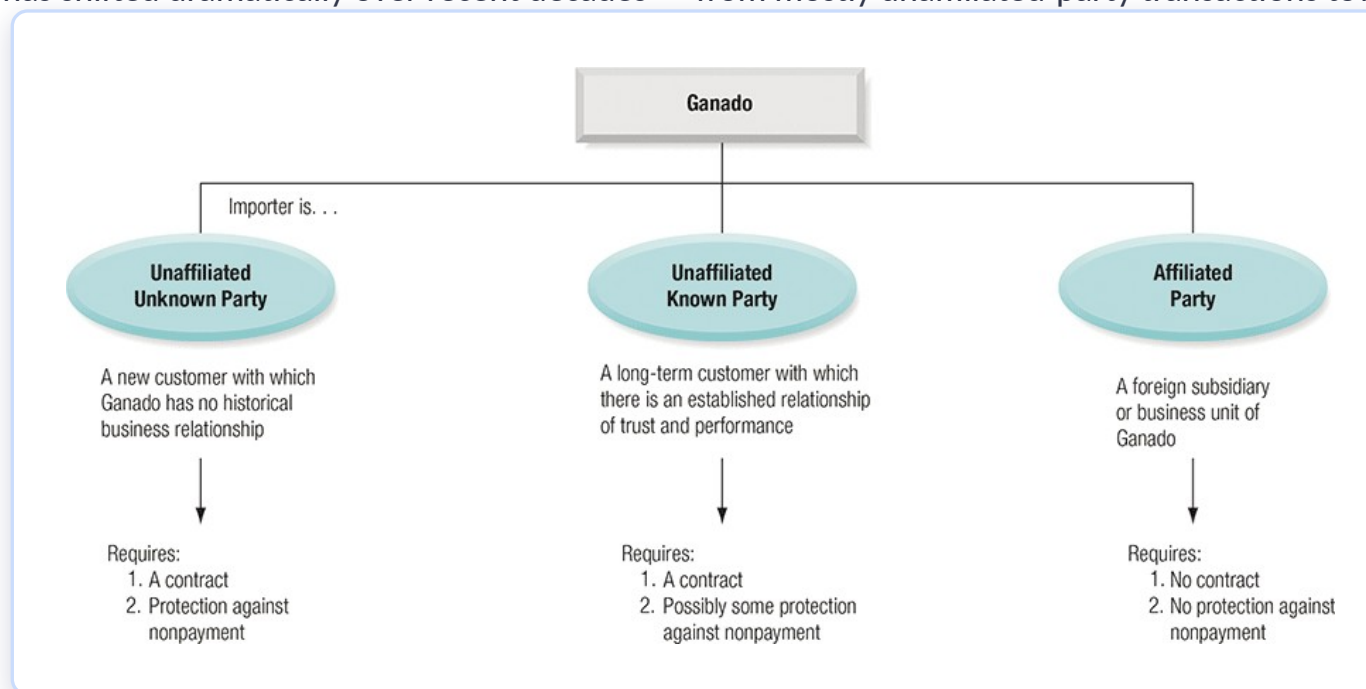


Exhibit 16.2 — Alternative International Trade Relationships

The Fundamental Dilemma of Trust

International trade must work around a basic problem: an importer and an exporter are usually strangers, and:

They live far apart

They speak different languages

They operate in different political environments

They practice different religions

They have different standards for honoring obligations

In essence, distrust is natural — and importer and exporter would each prefer a very different arrangement for payment and goods transfer.

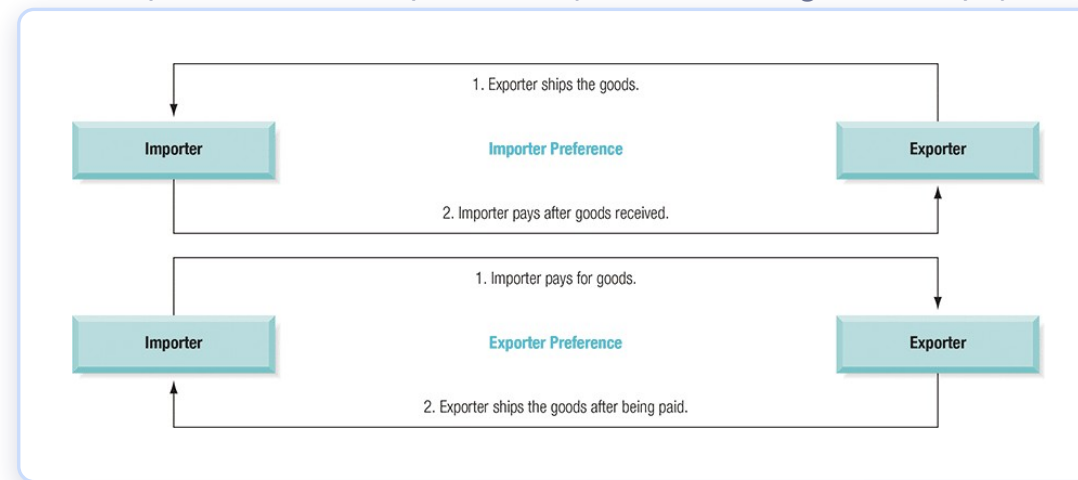


Exhibit 16.3 — The Mechanics of Import and Export

Solving the Dilemma: A Bank as Intermediary

- The dilemma of trusting a stranger in a foreign land is solved by using a highly respected bank as an intermediary.
- The bank stands behind a letter of credit (L/C) — its promise to pay — issued on behalf of the importer.
- Two other significant documents complete the picture: an order bill of lading and a sight draft.

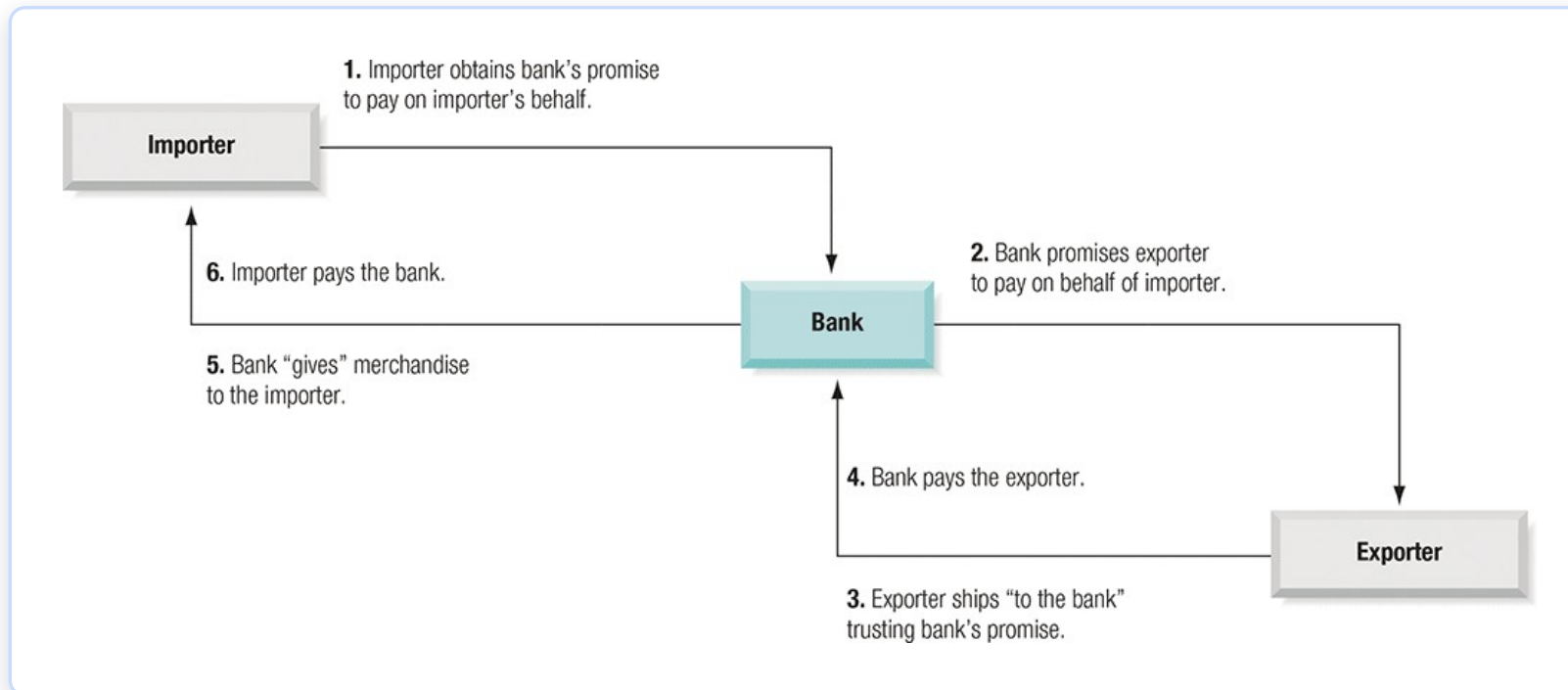


Exhibit 16.4 — The Bank as the Import/Export Intermediary

Benefits of the System

The system — including the three key documents — has been developed and refined over centuries to protect both importer and exporter.

1

Reduces Risk of Noncompletion

Both parties are protected against the other failing to fulfill their side of the transaction.

2

Manages Foreign Exchange Risk

The structure clarifies who bears currency risk, and when, across the life of the deal.

3

Provides a Means of Financing

The documents themselves become financeable instruments, unlocking working capital for both sides.

Ganado U.S. wants to buy specialized machine parts from a manufacturer in Guadalajara it has never purchased from before. What type of trade relationship is this — and what should Ganado insist on?

- A** Affiliated party — no special protections needed
- B** Unaffiliated, known party — rely on trust built over time
- C** Unaffiliated, unknown party — require a contract and protection against nonpayment ✓
- D** Unaffiliated, unknown party — pay cash in advance and skip documentation

Why: A new, unaffiliated counterparty carries the highest risk of noncompletion. This is exactly the relationship Exhibit 16.2 shows requiring a contract plus formal payment protection (such as an L/C) — not just trust, and not a blind cash advance either.

SECTION 2

Trade Risk & the Transaction Timeline

From a financial-management view, every cross-border sale carries two central risks.

International Trade Risks & the Timeline

- The two primary financial-management risks in an international trade transaction are currency risk (the currency of payment) and risk of non-completion (timely and complete payment).
- The risk of importer default is present as soon as the financing period begins.

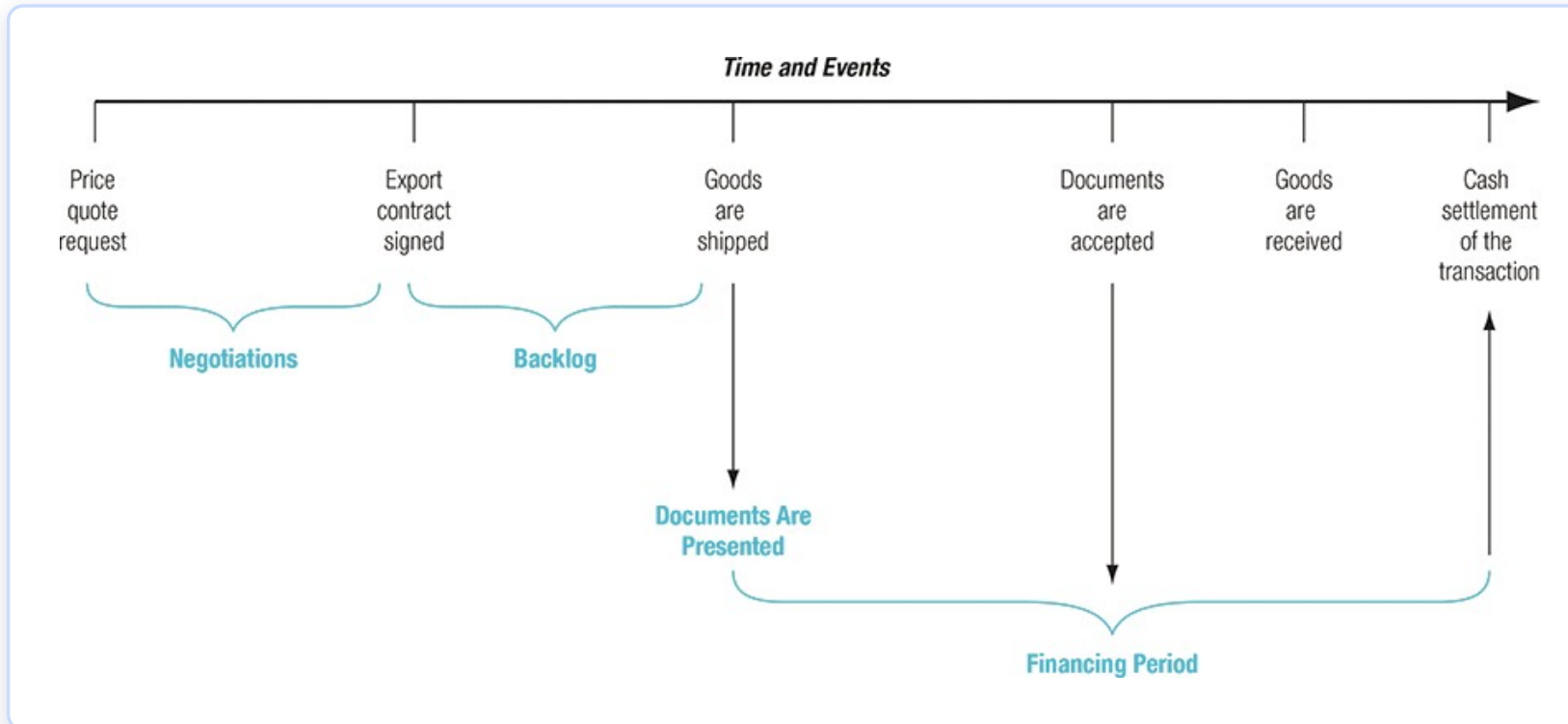


Exhibit 16.5 — The Trade Transaction Time Line and Structure

Mapping a Real Timeline

An exporter in Da Nang ships electronics components to a buyer in Rotterdam. Using Exhibit 16.5's structure, the deal unfolds as follows:

Price quote requested	Jan 5
Export contract signed	Feb 1
Goods shipped / documents presented	Mar 15
Documents accepted	Mar 20
Goods received	Apr 10
Cash settlement (60 days after acceptance)	May 19

Answer: Default risk begins on March 20 — the moment documents are accepted marks the start of the financing period. That risk runs until cash settlement on May 19, a 60-day exposure window.

SECTION 3

The Three Key Trade Documents

1

Letter of Credit (L/C)

2

Draft (Bill of Exchange)

3

Bill of Lading (B/L)

Letter of Credit (L/C): What It Is

- A letter of credit (L/C) is a bank's conditional promise to pay, issued at the request of an importer, in which the bank promises to pay an exporter upon presentation of documents specified in the L/C.
- An L/C reduces the risk of noncompletion because the bank agrees to pay against documents rather than actual merchandise.

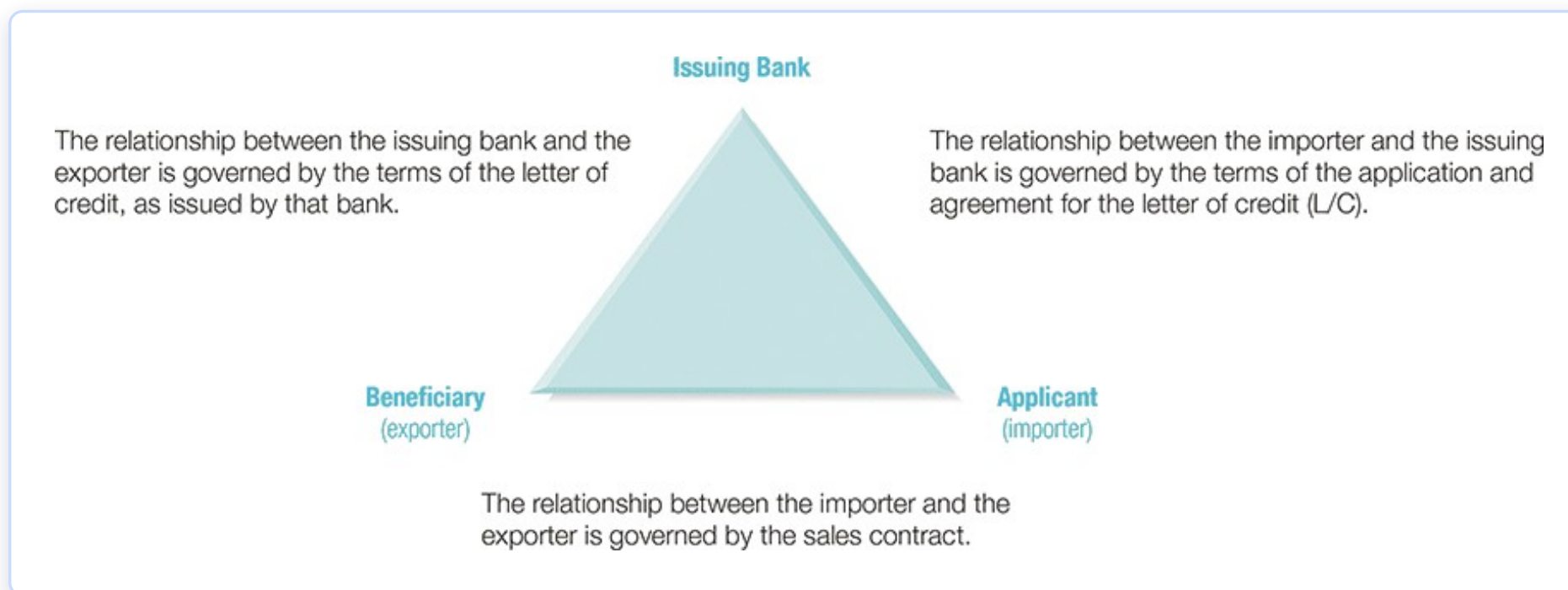


Exhibit 16.6 — Parties to a Letter of Credit (L/C)

L/C: A Transaction of Its Own

The Bank's Promise

The essence of an L/C is the issuing bank's promise to pay against specified documents, which must accompany any draft drawn against the credit.

Independent of the Sale

The L/C is not a guarantee of the underlying commercial transaction — it is a separate transaction from any sales or other contracts on which it might be based.

L/C: Classification & Advantages

- Commercial letters of credit are classified as: irrevocable vs. revocable, and confirmed vs. Unconfirmed.
- To the exporter: an L/C reduces risk — the exporter can sell against a bank's promise to pay rather than a commercial firm's promise.
- To the importer: funds need not be paid out until documents arrive at the issuing bank and all credit conditions are fulfilled.

Type	Key Feature	Exporter Protection
Revocable L/C	Can be cancelled or amended without the exporter's consent.	✗ Low
Irrevocable L/C	Cannot be cancelled without all parties' agreement.	✓ High
Unconfirmed L/C	Only the issuing bank guarantees payment.	✓ Moderate
Confirmed L/C	Issuing bank + confirming bank guarantee payment.	✓ ✓ Very High

Exhibit 16.7 — Essence of a Letter of Credit (L/C)

Structuring an L/C for a New Buyer

Meridian Textiles (Ho Chi Minh City) is exporting \$500,000 of finished garments to a first-time buyer in a country with an unstable banking sector.

Counterparty is unknown

Need a bank's promise, not the buyer's

Buyer's bank isn't well known internationally

L/C should be confirmed

Deal must not be cancellable once shipped

L/C should be irrevocable

Answer: Recommended structure: an irrevocable, confirmed L/C. Irrevocable protects Meridian from cancellation; confirmation adds a second, more creditworthy bank's guarantee on top of the buyer's own bank.

Draft (Bill of Exchange): The Basics

- A draft, sometimes called a bill of exchange (B/E), is the instrument normally used in international commerce to effect payment.
- A draft is simply an order written by an exporter (seller) instructing an importer (buyer) or its agent to pay a specified amount of money at a specified time.

Maker / Drawer / Originator

The person or business initiating the draft — normally the exporter who sells and ships the merchandise.

Drawee

The party to whom the draft is addressed — typically the importer or its agent.

Draft: Negotiability Requirements

A draft accepted by a bank becomes a banker's acceptance. There are two kinds: time drafts and sight drafts.

If properly drawn, drafts can become negotiable instruments — a convenient way to finance the international movement of merchandise. To become negotiable, a draft must:

- 1

Be in writing and signed by the maker or drawer
- 2

Contain an unconditional promise or order to pay a definite sum of money
- 3

Be payable on demand or at a fixed or determinable future date
- 4

Be payable to order or to bearer

Requirement	Meaning
Written & Signed	Must be in writing and signed by the drawer (maker).
Unconditional Order	Must contain an unconditional order to pay a fixed amount of money.
Definite Payment Date	Payable on demand (sight) or at a fixed future date (time).
Payable to Order/Bearer	Must specify a payee or be payable to the bearer so it can be transferred.

Discounting a Banker's Acceptance

An exporter holds a 90-day banker's acceptance for \$250,000 and wants cash today. The bank's discount rate is 1.14% annualized (see Exhibit 16.9).

Face value	\$250,000
Discount rate (annualized)	1.14%
Time period	90 / 360 days
Discount = $\$250,000 \times 1.14\% \times (90/360)$	\$712.50
Proceeds = $\\$250,000 - \\712.50	\$249,287.50

Answer: The exporter receives \$249,287.50 today, giving up \$712.50 to convert a 90-day claim into immediate cash.

Bill of Lading (B/L)

- The third key document for financing international trade is the bill of lading, or B/L.
- The bill of lading is issued to the exporter by a common carrier transporting the merchandise.
- Bills of lading are either straight or to order.

The B/L serves three purposes at once:

A Receipt

Confirms the carrier has received the goods described.

A Contract

Sets the terms under which the carrier will transport the goods.

A Document of Title

Establishes legal ownership and control of the merchandise.

The Three Documents at a Glance

	Letter of Credit	Draft	Bill of Lading
Issued by	Importer's bank	Exporter (drawer)	Common carrier
Core function	Bank's promise to pay against documents	Order to pay a fixed sum at a set time	Receipt, contract, and title to goods
Protects	Both parties from noncompletion risk	Exporter's right to payment; can be sold (negotiable)	Exporter's control of goods until paid
Becomes financeable when...	Confirmed by a second bank	Accepted by a bank → banker's acceptance	Attached as collateral to a draft/L/C

A carrier hands the exporter a document confirming receipt of goods, the shipping contract terms, and legal title to the merchandise. Which document is this?

A Letter of Credit

B Draft (Bill of Exchange)

C Bill of Lading



D Banker's Acceptance

Why: Only the bill of lading serves all three roles at once — receipt, contract, and document of title — which is exactly why it can be pledged as collateral alongside the L/C and draft.

SECTION 4

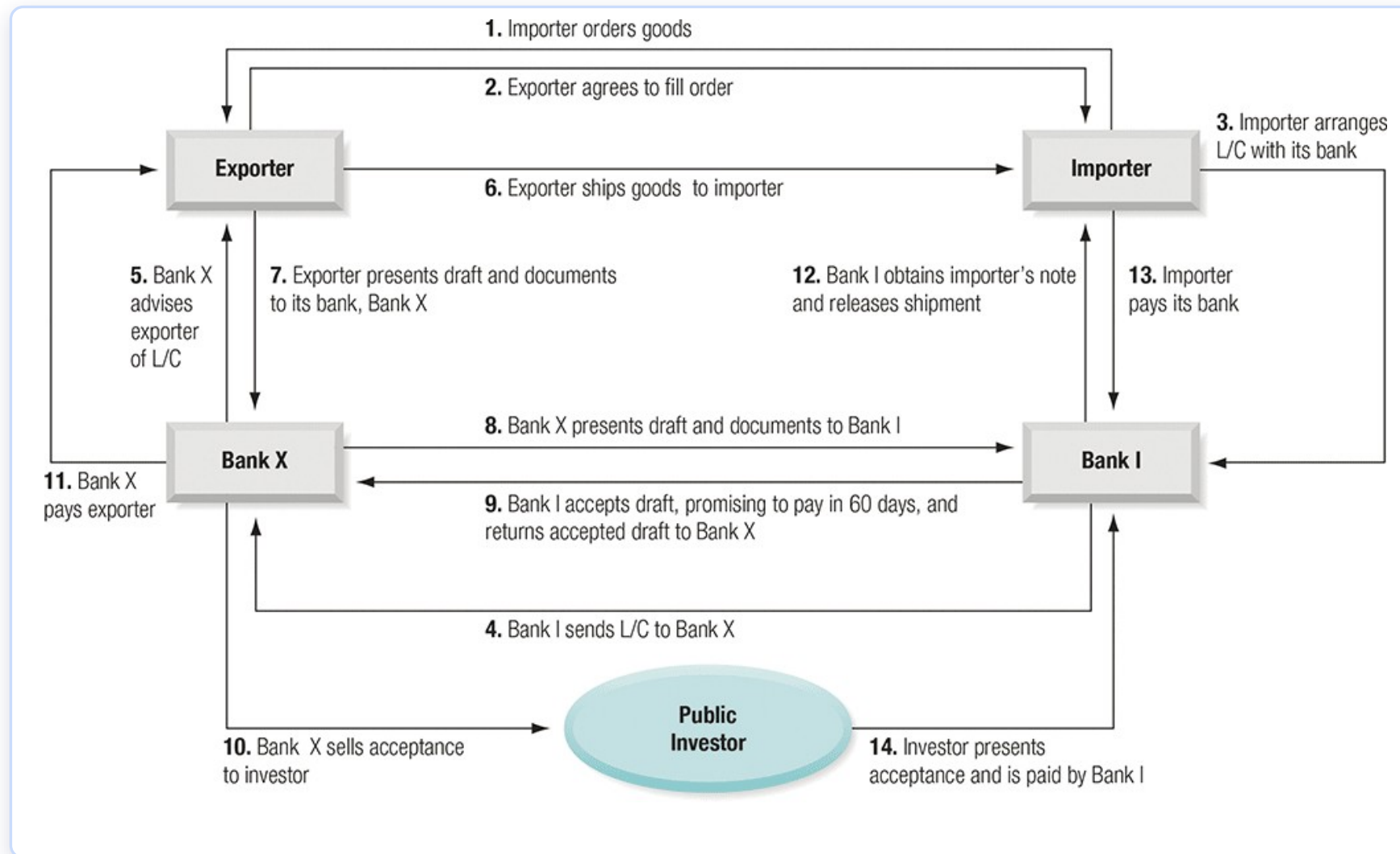
A Complete Trade Transaction

Watching all three documents work together, step by step, in a single worked example.

Documentation in a Typical Trade Transaction

- A trade transaction could be handled many ways. The example that best illustrates how the documents interact is:
- An export financed under a documentary commercial letter of credit, requiring an order bill of lading, with the exporter collecting via a time draft accepted by the importer's bank.
- The next slide walks through this transaction step by step.

Exhibit 16.8 — Steps in a Typical Trade Transaction



Step	Action	Purpose
1	Importer orders goods	Starts the trade transaction
2	Exporter accepts the order	Agrees to supply the goods
3	Importer requests a L/C from Bank I	Bank guarantees future payment
4	Bank I sends the L/C to Bank X	Advises the exporter's bank
5	Bank X notifies the exporter	Exporter confirms payment guarantee
6	Exporter ships the goods	Fulfills the sales contract
7	Exporter submits shipping documents and a time draft to Bank X	Requests payment under the L/C
8	Bank X forwards documents to Bank I	Bank I checks compliance
9	Bank I accepts the draft	Creates the Banker's Acceptance and promises to pay at maturity
10	Bank X sells the BA to investors	Converts future payment into immediate cash
11	Bank X pays the exporter	Exporter receives cash immediately
12	Bank I releases shipping documents to importer	Importer collects the goods
13	Importer repays Bank I at maturity	Settles the trade financing
14	Investor presents the BA and receives payment from Bank I	Transaction ends

In Exhibit 16.8's 14-step transaction, at which step does the exporter actually receive payment — and from whom?

A Step 6 — when goods are shipped to the importer

B Step 9 — when Bank I accepts the draft

C Step 11 — when Bank X pays the exporter ✓

D Step 13 — when the importer pays its bank

Why: The exporter is paid at Step 11 by its own bank, Bank X — well before the importer even pays Bank I at Step 13. Bridging that gap is exactly what the documentary system is built to do.

SECTION 5

Financing the Transaction

Governments, banks, and specialized instruments all help fund the gap between shipment and payment.

Why Governments Get Involved

Governments support export financing to help domestic companies compete internationally and boost the national economy.

Reason	Explanation
Support national exporters	Governments establish special export finance institutions that provide loans and financial assistance to domestic exporters.
Offer better financing	These institutions provide lower interest rates, longer repayment periods, and more favorable financing terms than private banks.
Promote economic growth	Government subsidies reduce financing costs for foreign buyers, encouraging them to purchase domestic products, which increases exports, creates jobs, and strengthens national industries.
Reduce export risk	Governments provide export credit insurance and operate government-supported export banks to protect exporters against payment risk and facilitate international trade.

Key U.S. Institutions: FCIA & Eximbank

- An exporter who insists on cash or L/C payment for foreign shipments risks losing orders to competitors from countries offering more favorable credit terms.
- Competition between nations to lengthen insurable credit periods can trigger a credit war and unsound credit decisions.

FCIA

Foreign Credit Insurance Association

Provides U.S. export credit insurance — an unincorporated association of private commercial insurers operating in cooperation with the Export-Import Bank.

Eximbank

The Export-Import Bank of the U.S.

A U.S. Government agency established to facilitate the foreign trade of the United States.

FCIA	Eximbank
Like insurance	Like a bank
Protects exporters if buyers don't pay	Helps buyers obtain financing
Reduces payment risk	Makes it easier to complete the sale

A U.S. exporter wants to insure a foreign receivable against nonpayment, without borrowing any government money. Which institution provides this?

A Eximbank — direct government lending

B FCIA — export credit insurance



C The IMF — balance-of-payments support

D The World Bank — development financing

Why: FCIA, working in cooperation with the Export-Import Bank, insures exporters against nonpayment. Eximbank itself is the lending and financing arm — a related but distinct role.

Trade Financing Alternatives: Overview

- To finance international trade receivables, firms use the same financing instruments they use for domestic trade receivables — plus a few specialized instruments available only for international trade.
- These fall into three groups: short-term financing instruments, longer-term instruments, and various types of barter used to substitute for these instruments.

Simple Comparison

Category	Time	Typical Examples	Purpose	
Short-Term Instruments	Less than 1 year	BA, Trade Acceptance, Factoring, Commercial Paper	Finance day-to-day trade and working capital.	
Longer-Term Instruments	More than 1 year	Long-term loans, Eximbank loans, bonds, leases	Finance large, expensive export projects.	
Barter Arrangements	Varies	Countertrade, barter, compensation deals	Trade goods or services instead of cash.	

Short-Term Financing Instruments

Bankers Acceptances

Trade Acceptances

Factoring

Securitization

Bank Credit Lines

Commercial Paper

Instrument**Cost or Yield for 3-Month Maturity**

Bankers' acceptances*

1.14% yield annualized

Trade acceptances*

1.17% yield annualized

Factoring

Variable rate but much higher cost than bank credit lines

Securitization

Variable rate but competitive with bank credit lines

Bank credit lines

4.25% plus points (fewer points if covered by export credit insurance)

Commercial paper*

1.15% yield annualized

*These instruments compete with 3-month marketable bank time certificates of deposit that yield 1.17%.

Comparing Financing Costs

A firm needs to finance a \$300,000, 3-month export receivable. It can discount a banker's acceptance (1.14% annualized) or draw on a bank credit line (4.25% plus points).

Banker's acceptance: $\$300,000 \times 1.14\% \times (3/12)$	\$855
Bank credit line: $\$300,000 \times 4.25\% \times (3/12)$	\$3,187.50 +pts
Savings from using the banker's acceptance	$\approx \\$2,330$

Answer: The banker's acceptance is far cheaper here — roughly \$2,330 less over 3 months — because it trades on the bank's credit standing rather than the firm's own borrowing rate.

Forfaiting: Long-Term Trade Financing

- Forfaiting is a longer-term financing instrument used to eliminate the risk of importer nonpayment — used when the importing firm and/or its government is seen by the exporter as too risky for open-account credit.
- A typical forfaiting transaction involves five parties: importer, exporter, forfaiter, investor, and the importer's bank.
- The essence of forfaiting is the non-recourse sale by an exporter of bank-guaranteed promissory notes, bills of exchange, or similar documents received from an importer in another country.

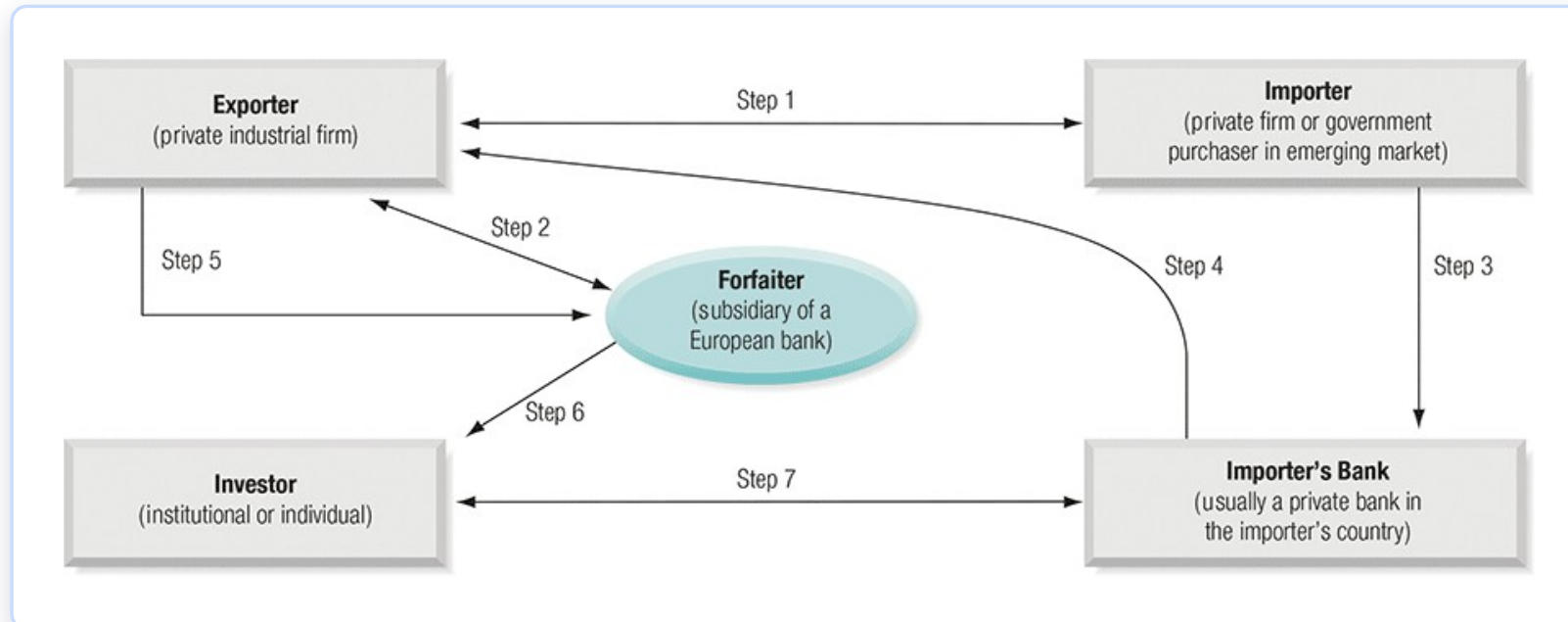


Exhibit 16.10 — Typical Forfaiting Transaction

Pricing a Forfaiting Deal

An exporter holds \$1,000,000 in bank-guaranteed promissory notes from a foreign importer, maturing in 1 year. A forfaiter offers to buy them today at a 6% annual discount, non-recourse.

Face value	\$1,000,000
Discount = $\$1,000,000 \times 6\% \times 1 \text{ year}$	\$60,000
Proceeds to exporter today	\$940,000

Answer: The exporter takes \$940,000 today and is fully released from repayment risk — the forfaiter now owns the notes and bears the importer's credit risk outright, since the sale is non-recourse.

Key Takeaways

1

Trade finance extends the firm's ordinary value chain across borders — and across gaps in trust.

2

A respected bank intermediary — via the letter of credit — resolves the fundamental dilemma of trading with a stranger.

3

Every transaction carries two risks to manage: currency risk and risk of non-completion.

4

Three documents — the L/C, the draft, and the bill of lading — work together to finance the deal and manage its risk.

5

Governments subsidize export credit through institutions like FCIA and Eximbank to keep national exporters competitive.

6

Short-term instruments (acceptances, factoring, securitization) and long-term forfaiting round out the financing toolkit.